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Budget Proposal

New Ways to Work, Learn, and Teach

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Budget Proposal

New Ways to Work, Learn, and Teach

EXECUTIVE SUMMARY

Ohlone College is in a unique position. Creativity is abounding, inspired educational opportunities are flourishing, outside fundraising is kicking into high gear, we are progressing toward inventive new ways of working, and a new campus is moving toward reality. With all of this imagination and excitement, there needs to be avenues for all of the campus community requirements to be appraised and offered an opportunity to become funded. All of us want to provide the most exciting educational experience possible for our students.

The Business Office recognizes the current budget planning process is out-of-date and provides very few opportunities for participation. We need to craft a budget planning process that will provide opportunities for resource allocation that is participative, fair, equitable, flexible, more spontaneous, and still meets the legal and regulatory requirements.

We acknowledge the complexity and immensity of this endeavor. Therefore, this is not intended to be the “answer” but to be a first step. In this paper we have suggested a budget philosophy that supports the “Learning College” concept and is in line with the goals of the college. We have also addressed the legal side of the budget from the Community College inception to current constraints. Finally our investigation looks at the challenges that we face in blending an old style budget with a new flexible focus and possible methods for addressing some of those challenges. This all is a first attempt to bring the budget process more in line with the direction of the college, acknowledging that the process is, maybe more, important than the actual outcome.

This Budget document will first describe what a Learning College is. We will then be defining a budget philosophy for a “*New Ways to Work, Learn, and Teach*” by looking at legal background, current practice, and Ohlone College mission and goals. Lastly we will provide a budget proposal and some recommendations for building a budget.

The five areas that we encourage the college to address are these:

1. Provide teaching/training for the entire college community (administration, faculty, and classified staff) on the budget and on Senge's and O'Banion's models.
2. Provide examples of how the budget is already addressing the new model .
3. Provide avenues of participation based on college wide goals.
4. Provide incentives to participate and innovate. There can be numerous avenues but if no one takes the invitation then we have not moved down the continuum.
5. Search for various sources of revenue to support creativity and innovation.

TERMINOLOGY

The Learning Organization

Learning organizations are: “...organizations where people continually expand their capacity to create the results they truly desire, where new and expansive patterns of thinking are nurtured, where collective aspiration is set free, and where people are continually learning to see the whole together”.

The organizations that will truly excel in the future will be the organizations that discover how to tap people’s commitment and capacity to learn at all levels of the organization.” (Senge, 1990)

The Learning College

“The learning college places learning first and provides educational experiences for learners anyway, anyplace, anytime” (O'Banion, 1997)

The Learning College, as defined by O’Banion, is a new model of education that seeks to create an institution designed to help students make passionate connections to learning. The model is based on the assumption that educational experiences are designed for the convenience of learners rather than for the convenience of institutions and their staffs. In the learning college paradigm, all stakeholders pursue life long learning and commit to innovation, creativity and risk taking. Therefore, the learning college:

- Creates substantive change in the individual learner.
- Engages learners as full partners in the learning process, with learners assuming primary responsibility for their choices.
- Creates and offers as many options for learning as possible.
- Assists learners to form and participate in collaborative learning activities.
- Defines the roles of learning facilitators by the needs of the learners.
- Measures success by documented improved and expanded learning for its learners.

The college, as a whole, is utilizing this terminology – The Learning College – as all encompassing of both the operational and educational sides. So while O’Banion was speaking specifically to the educational component, Ohlone is actually referring to both theories when we speak of a Learning College.

Learning Communities

Curricular structures that intentionally restructure the curriculum in ways that bring students, faculty and disciplines together in more integrated and meaningful ways.

“a variety of approaches that link classes during a semester around an interdisciplinary theme and that enroll a cohort of students. This entails a restructuring of student time,

credit and learning experiences to foster more explicit connections between students, between students and faculty and between disciplines” (MacGregor, 2002)

WHAT IS A LEARNING COLLEGE

The Learning College paradigm seeks to create a learner-centered institution where all stakeholders pursue life long learning and commit to innovation, creativity and risk taking. O'Banion (1997) argues that, in order to succeed, the Learning College needs to rest on a firm foundation and he identifies the three cornerstones in: the body of research on learning from cognitive science and neuroscience, the assessment and outcome measures movement and technology. From learning theory, we know that learning is about making deep cognitive, neural and social connections (Cross, 1999) and learners perform best in collaborative learning environments where they actively engage in the social construction knowledge.

In the last year, Ohlone College has launched the Learning Communities initiative, a major transformation in how the college thinks about teaching and learning. Learning communities intentionally restructure the curriculum in ways that bring students, faculty and disciplines together in more integrated and meaningful ways.

Learning communities are characterized by:

“a variety of approaches that link classes during a semester around an interdisciplinary theme, that enroll a cohort of students. This entails a restructuring of student time, credit and learning experiences to foster more explicit connections between students, between students and faculty and between disciplines” (MacGregor, Smith, Tinto and Levine 1999).

In a learning communities model curricular structures are transformed and disciplines are not viewed as “silos” but as “frameworks for student learning” (Riordan, 2005). Faculty shape their teaching around the ways of thinking they want their students to develop and they design assessments that require students to demonstrate their deep thinking and understanding through application and use.

In addition, learning communities are structures that intentionally merge the academic and social function of the undergraduate experience. They promote learning environments that integrate the ways the students learn, within and outside of the classroom, and enable collaborations and partnerships between professionals in student services and educators.

Learning communities are structures that promote high levels of interaction and collaboration between students and faculty and student-student. Online Learning technologies such as course management systems, synchronous and asynchronous online communication tools can greatly enhance Learning communities by extending student-student interactions beyond the classroom and in enabling collaborative learning online.

The AAHE, ACPA and NASPA supported the conclusions of the report “Powerful Partnerships” (Joint Task force on Learning, 1998) that to transform institutions to meet the challenges faced by higher education in the XXI century, the two most important segments of the campus community: academic affairs and student affairs, need to collaborate to share the

responsibility for student learning. We advocate these collaborations across divisions as they will benefit student learning as well as enable budgetary partnerships among different constituencies in the campus community.

Learning communities are a major, broad based innovation that incorporate the Learning College principles and can be thought of as the catalyst for transforming the entire institution and advancing the Learning College paradigm. Learning communities unify the campus culture by bringing together professionals in different units of the campus that have distinct missions such as librarians, educational technologists, IT staff, counselors to collaborate with educators and students to create new integrated learning experiences.

Some of the instructional technologies used in Learning Communities to strengthen and deepen learning in community include: (Shapiro and Levine, 1999)

- Student use of the web for research to be used in group projects often with the librarian's assistance
- Use of course management systems to post, syllabi, course materials etc.
- Use of e-mail, threaded discussions, or course management systems, web-video, or combinations of these to augment or replace classroom seminars, readings, group work, and other assignments
- Student creation of personal electronic academic portfolios
- Other online assessments, e.g. formative surveys, course evaluations
- Participation in on-going community, data collection or data validation efforts (generated from instructor-student-community interactions)

Librarians and information technologists are becoming critical partners in learning community development and delivery. This is due to the ubiquity of networked learning technologies and to the exponential growth of information. Librarians participate in learning community teams to provide expertise in information retrieval, research methods, and information literacy. Information technologists can offer valuable expertise in on-line teaching, learning, and assessment practices.

Reflective learning community practitioners integrate both library-related issues and instructional technologies into their courses after conducting a careful course design process that establishes learning goals for their use, activities that facilitate achievement of those goals, and mechanisms for assessing and recalibrating activities, during and after the term. (Washington Center for Improving the Quality of Undergraduate Education website <http://www.evergreen.edu/washcenter>).

In the Fifth Discipline, Senge (1990) in describing the creation of a learning organization states:

“learning gets to the heart of what it means to be human. Through learning we re-create ourselves. Though learning we are able to do something we were not able to do before. Through learning we perceive the world and our relationship with it. Through learning

we extend our capacity to create, to be part of the generative process of life. There is within each one of us this hunger for this type of learning”

The desire for this type of learning and to think and act systemically by all stakeholders in a campus community has the potential to unify and expand the collaborative partnerships between academic and student affairs divisions that will enable students to see the academic and social dimensions of the college experience as integrated.

New Ways to Work

While the Learning Communities are designed to engage the faculty and students in new ways of learning, the New Ways to Work Program seeks to achieve the same synergies on the classified, operational side. New Ways to work support activities that meet the Strategic Goal IV: Provide continuous learning for all personnel associated with the District and promote an organizational structure that is adaptable, collegial and supportive of the Learning College Model.

Classified Flex Plan

A collaborative effort involving classified representatives from the CSEA and the SEIU bargaining units, and Human Resources staff, resulted in the development of a Classified Flex Plan. The plan, scheduled for implementation in July 2006, creates job related knowledge and skill building opportunities for the classified staff. Classified staff pursue individual learning plans, are provided release time for qualified education endeavors, and can earn additional time off credit for special educational achievements. The plan supports continuous learning and is supportive of the Learning College model.

Partnerships for designing classified jobs

Representatives of the CSEA and the college are partnering to design classified jobs to support District operations for the next five to ten years. The project, known as “New Ways to Work” is comparing how work is accomplished now with the kinds of work that will be done in the future. New, more flexible jobs are being designed. Along with the job design, education and training plans are being designed so that current classified staff may acquire the knowledge and skills necessary to fill the new positions. Classified pay structures for the future are also being designed. The advantage to the College include, jobs that fit the needs of a changing College, better trained and equipped classified staff, improved employee morale, customer and student service improvements, and reduced operating costs. The “New Ways to Work” committee is now reviewing job design proposals and expects to complete the project design by Dec. 31, 2006.

BUDGET PHILOSOPHY

The Ohlone College Budget Philosophy is a statement of our commitment to living the Learning College. It provides for opportunities to embody that model in support of the college mission, vision and values. Ohlone Community College District is to serve the community by providing a center for career, technology, science, liberal arts education, cultural enrichment, economic development, and lifelong learning. Ohlone College will be known throughout California for our inclusiveness, innovation and superior rates of student success.

The budget should be based upon our values and beliefs in the Learning College as well as the parameters as set by state and federal statute and regulations. The core Ohlone College organizational values of life long learning, diversity, openness, pursuit of excellence, trust, respect, integrity, team work, open communication, innovation, risk-taking, entrepreneurship, stewardship for our human, financial, physical and environmental resources are reflected in this budget. Using the college's governance and decision making processes, the mission, vision and core values are reviewed on a regular basis and revised as necessary.

The Ohlone College Budget Philosophy is the concerted effort to keep the mission and the Learning College in the forefront of our minds as we plan all aspects of the budget.

In keeping with the concept of living the Learning College, participation in the budgeting process involves constituencies from across the campus. Participants in the process are supported in their participation and expected to teach their constituencies so that the processes are sustainable well into the future. A successful budget requires communication, outreach to all the campus, direction and a commitment to excellence. In addition to balancing specific needs with available resources, and incorporating the Ohlone College shared mission and values, the process must be a cooperative effort of the total community of the college. The processes are not intended to be sustainable without continued involvement from all constituencies. It is the intent of Ohlone College to nurture these constituencies.

Our commitment to the Learning College is reflected in applying the standards of such to all budgeting areas. Primary funding, budgeting and expenditures for such funding, for community colleges is set by the state of California. The philosophy will be applied to these areas wherever possible and when not in conflict with applicable laws and regulations.

LEGAL BACKGROUND FOR THE BUDGET

California Education Code

The California Education Code (or Ed Code) is the legislation that set up the framework for the state run education system. In the broadest sense it is what outlines how schools will be set up and who has authority to decide what.

Until the mid sixties, California Community Colleges (CCD) were under the direction of the Department of Education. *Legislation creating the Board of Governors (BOG) was passed in 1967, setting the effective date of separation from the State Board of Education as July 1, 1968. On that date some staff were transferred from the State Department of Education to the new entity, and the BOG held its first official meeting that month. The first permanent Chancellor, Sidney Brossman, started Sept. 1, 1968 (<http://www.cccco.edu/>)*

Calif. Ed. Code §66010.4 specifically defines the separation of K-12 from Community Colleges and further delineates the purviews of each component of higher education.* *The primary missions of the Colleges are to offer academic and vocational education at the lower division level for both recent high school graduates and those returning to school. Another primary mission is to advance California's economic growth and global competitiveness through education, training, and services that contribute to continuous workforce improvement. Essential and important functions of the colleges include: basic skills instruction, providing English as a second language, adult noncredit instruction, and providing support services that help students to succeed. Fee-based Community Service education is designated as an authorized function. To the extent funding is provided the Colleges may conduct institutional research concerning student learning and retention as is needed to facilitate their educational missions.* (Calif. Ed. Code §66010.4(a))

Since 1968 Community Colleges have had their own section of the Ed Code starting after the 66000 series which sets up the system, continuing through the eighty thousand (80000) series. The Ed Code gives ultimate authority to the Board of Governors. This body is responsible for the system as a whole. It is the interface between the individual Districts and the Sacramento Legislators and the Governor. *The Board of Governors provides leadership and direction in the continuing development of the California Community Colleges as an integral component of public higher education in the state, to fulfill the promise of opportunity for all under California's Master Plan for Higher Education.* The operational arm of the Board of Governors is The Chancellors Office. *This office includes seven major divisions conducting the business of the system: College Finance and Fiscal Policy Planning; Legal Affairs and Contracts; Educational Services and Economic Development; Policy, Planning and External Affairs; Student Services; Human Resources; and Internal Affairs.*

Calif. Ed. Code §70902 establishes the authority of the board of trustees, *every community college district shall be under the control of a board of trustees, which is referred to herein as the "governing board."* *The governing board of each community college district shall establish, maintain, operate, and govern one or more community colleges in accordance with the law.* The code section further defines the governing board's responsibilities as establishing

policies and approval: *of long-range academic and facilities plans and programs; over courses of instruction; of academic standards; of operational and capital outlay budgets; of district property; and a series of student related fees, conduct and funds*. Sub-section (b) 5 is the specific section that provides the Budget as a legal document to carry out the business of the college.

The Ed Code also contains two other laws that have pertinence to budgeting in a CCD. The first is one of the oldest laws in the Ed Code. It was designed to provide guidance to the young elementary education system in the days of one-room schools houses. It is the 50% Law which states that 50% of all state funding will go toward classroom instruction which is defined as teacher's salaries and benefits. In a K-12 setting this is completely appropriate.

Community Colleges have inherited this law and it was not changed in the 1960's or the 1990's when new legislation separated CCDs from K-12. The law has been further defined over the years but not changed. All administrators, classified staff, office supplies, counselors, librarians, release time, utilities, and any other operational items are in the denominator of this calculation. New equipment, lottery purchases, cafeterias, and student transportation are excluded. Ohlone College was at 52% last year. Most colleges are much closer to 50%.

The second law is AB 1725. This is a far reaching law, but the portion that relates to budgeting is the Full Time Faculty formula or the 75/25 rule. This rule states that 75% of the schedule must be taught by full-time faculty. Since schedules are so fluid and a college that is growing will have more sections taught by part-time faculty than a college in decline or stability, the Chancellor's office calculates and assigns the required full-time faculty obligation for each college. The current requirement for Ohlone College is 142.2 sections. Our budget is built on 150 sections, so we have surpassed the requirement.

These two laws work in tandem with each other. The amount that we spend on other than classroom faculty cannot exceed the 50%. This has been an incentive to the college to keep the full time faculty number at 150. We could have dropped three faculty positions and just met the 50% requirement but any more and we would have had to cut staff positions or increase faculty salaries. This puts a certain strain on our ability to be creative with additional dollars that we receive from the state. These laws do not have jurisdiction over funds that we raise, or any other income stream that we develop outside of state funding.

The California Code of Regulations (CCR) Title 5, 58300

Title 5 contains the specific regulations that define the Ed Code. The CCR was revised in 1990 to reflect the changes in the Ed Code that were done in 1968. The Ed Code supersedes the Regulations if the two differ. The following is a summary of the specific requirements contained in Title 5 as it relates to budgets.

1. A budget calendar must be developed and presented to the Board of Trustees on or before March 31st.
2. A Tentative Budget must be in place before July 1st.
3. Public Hearing is required prior to the adoption of the Final Budget.
4. The Budget Book will include all major assumptions.
5. The Final Budget must be approved by the Board of Trustees on or before September 15th.
6. Subsequent reports must be made to the Board of Trustees' on a quarterly basis and filed with the Chancellors Office 45 days after the end of the quarter.
7. A yearly budget and financial report must be filed 3 months after the year-end.
8. In addition to the time line above:
 - The General Operating Budget of the District shall support the District's master plan and educational plan.
 - The budget document must be based on documented assumptions that are presented to the Board for review.
 - The budget must contain a 5% contingency reserve that requires board resolution to utilize.

Board shall also establish policies for, and approve, current and long range facility plans and submit them to the Board of Governors.

The Budget and Accounting Manual (BAM)

Authority

The BAM, which has the authority of regulation in accordance with Title 5, Section 59011 of the CCR, is distributed as part of the BOG's responsibility to define, establish and maintain the budgeting and accounting structure and procedures for the CCDs. This responsibility is defined in Calif. Ed. Code §70901. Each CCD is required to follow this manual in accordance with Calif. Ed. Code §84030. *The accounting system including the uniform fund structure used to record the financial affairs of any CCD, shall be in accordance with the definitions, instructions, and procedures published in the CCD BAM...*

The BAM defines how and where transaction should be recorded and what reports the CCDs must file in order to be in compliance with the Ed Code and the CCR. The 311 Q's are the quarterly reports and the 311 is the final year end report. It contains both actuals for the current year ending and the final adopted budget for the next fiscal year. The actuals in this report must be reconciled with the District annual audit.

In its inception in December of 1973, the BAM was an effort to further delineate Community Colleges from K-12. The account code structure was enhanced to include an *activity-centered approach to expenditure reporting that described resource requirements and their direct cost, and the relative use in each of the major activities defined for college operations.*

The BAM continues to change as the legal requirements change. Some of the changes have been the program based funding formula, addition of categoricals, Standardized MIS reporting, Governmental Accounting Standard (GASB) 39-New Reporting Model, GASB 40 – Investment Reporting and GASB 45 – OPEB Other Post Employment Benefits. All of these have had an affect on the Budget Process.

How has Ohlone met the legal requirements?

The first seven requirements under CCR are met through the publication of the Budget Calendar. This document goes through the shared governance process and is adopted by the board. The desire is that it be taken through the process in February rather than waiting until the deadline of March.

Besides the timeline, *the General Operating Budget of the District shall support the District's master plan and educational plan.* Our budget process is tied to these plans but specific references are not made that actually link the two processes.

The budget document must be based on documented assumptions that are presented to the Board for review. For both the Preliminary and the Tentative budgets, the revenue assumptions are developed on the basis of the Governors January budget proposal, estimated FTES (full time equivalent students) and other revenue sources based on experience and projected future trends. Expenditures are developed based on what is known at the time. For example: the number of employees, step and column movement; benefit costs; fixed cost like energy, facility rental; any events or large one time expenditures; and require District support for categorical programs.

The budget must contain a 5% contingency reserve that requires board resolution to utilize and a restoration plan. Over the last 10 years the District has not proposed a budget that had less than 5%. In fact over the last 3 years the District has increased the reserve by \$800,000 under the Rainy Day Reserve provision in the Districts Fiscal Policies to help cushion the effects of uncertain state funding.

In addition to these requirements the *Board shall also establish policies for, and approve, current and long range facility plans and submit them to the Board of Governors.* The District does this through the submittal of the 5 year facility master plan which is maintained by Buildings and Grounds.

Budget Process - Current Practice

Revenue

The District Budget Planning process begins with the Governor's January Budget. Based on the estimated Fund 10 apportionment that has been promised, the first set of revenue assumptions is built. These estimates include:

- Enrollment Fees
- Local tax receipts
- Growth
- COLA
- Equalization
- Other Apportionment adjustments and/or incentives
- Foreign Enrollment
- Interest Income
- State Lottery
- Other Fees and Miscellaneous

Expenditures

Simultaneously the Expenditure budget is estimated usually based on status quo from the second quarter financial report. The only adjustments are based on one-time expenditures that either will not occur again or are anticipated for the coming year and employee step and column increases.

Planning

Once this rough cut of the budget is completed then either budget cutting or budget planning begins in preparation of the legally required Tentative Budget. The past few years have been primarily budget cutting models. Prior to the budget cutting years, there were several participative models that allowed various groups limited participation. Examples of these processes are the PFE planning, Instructional Block Grant, Capital Planning, department planning and program/service review. All of these fed into the overall budget. In the last few years as funding was tightened, many of the processes became obsolete and some were just discontinued.

It is also during this period that the budget calendar is prepared based on the various legal requirements and planning processes that were noted above. In prior years, the calendar and all aspects of the budget were reviewed by the Budget Committee. This committee was a cross section of all of the campus constituents. The College Council now receives reports from the Business Office but there is very little participation other than approval before items go to the Board of Trustees.

Budget Proposal

Staffing spreadsheets go out to the various budget managers to identify current staffing levels, to correct any title changes, and add any new employees or identify any vacant positions. There was a committee that determined the faculty and classified staffing levels. Once the full time faculty obligation was established by the Chancellors' Office, the faculty senate would review all new faculty position requests and prioritize them. If new faculty were added then classified could be considered. In general, for the business side of the house, substantiation of the staffing levels could be found in the program service reviews.

The Division Deans meet to plan for the expenditure of the instructional equipment block grant and restricted lottery funds. Collaboration with the Information Technology Department occurs when computer equipment and software are being considered. This process is still in use and functioning. An important element of this plan is leaving a reserve so that fall software can be ordered at the end of spring term rather than waiting for the Tentative Budget. Various Ohlone College Foundation funds are also becoming available and are now entering into the mix, adding to the complexity of accounting, but increasing the flexibility of resources.

Before the last three years of budget cuts, each department used to engage in a strategic planning session and budget allocation process. This practice has for the most part ceased. Budget managers are given roughly the same budget and do budget transfers during the year to adjust for changes. The strategic plan as defined from past years was more of an operational plan for both the business side and the academic side. The current President put a high-level strategic plan into place. It is now up to the individual departments to create an operational plan. There does not however, seem to be any motivation for engaging in this process. This is seen as one more thing to do that has no value. Without some planning model, it will be difficult to encourage participation.

From the survey results and personal observation, there are other needs that currently do not have a venue for input and so consequently can not be prioritized for consideration. Some of these items include either changing or developing new operational considerations such as GASB 45, technology replacement, other types of equipment, building maintenance (currently this is from what the state will fund only), and innovative instructional programs. Currently a new program has to fend for itself and get equipment donations, grants, fund raise for scholarships and recruit their own students.

Budget Theory

The District engages in both centralized and decentralized budgeting. Budgeting for employee costs is done centrally. Budget managers participate in the number of positions that they have and to some extent the cost in terms of the step placement for newly hired employees, but once filled the centralized budgeting process is in play. Most advertising is centralized. Repair and maintenance is as well. Each individual department has control over operating budgets like office supplies, other supplies, subscriptions, conference and travel, and the like.

There are advantages and disadvantages to this model. Centralized budgets allow for up front savings. If all budgets had to have repair and maintenance budget line items there would

have to be more budget allocated for the possibility of an occurrence even though the probability is relatively low. The down side of centralized budgets is access. Budget managers tend toward not trusting their ability to access the centralized funds and hold on to other parts of their budget so they have a little cushion. Then, in case of an emergency, they can meet their own needs. This creates mistrust and budget hording and ultimately wasteful spending so that the budget manager will not loose budget for the next year.

Centralized budgeting processes are the result of a need to reduce budgets and retain centralized control. This type of process, while creating some efficiencies and savings, actually results in less saving and more purposeless spending and is not in keeping with the more fluid concept of systems thinking.

The budget survey indicated that a large percentage of the general college population did not know how to engage in getting resources. The worst aspects of the political model are in play when the process is tightly controlled and not known. Thus, it is imperative that more of the college population understand and participate in the budget process. It is only through understanding that trust can be established.

The decentralized portion of the budget does not afford any better flexibility; it is very rigid and silo-oriented. Even with in divisions there is very little sharing. At the end of most years there is one to two million dollars or 2 to 3% of the expenditure budget left on the table that just gets rolled into the next years fund balance. If managers were not aimlessly spending in order to keep their budgets at a status quo, there might even be more left over. So again even with the decentralized portion of the budget we are not seeing participation and certainly not systems thinking.

If each division were given a lump sum to allocate as they felt necessary this would create a more participative model. It would also create a great deal more work, but might encourage the operational strategic planning that has been missing. This type of model is a zero based budgeting strategy which requires that each department justify the need for each dollar they receive every year. In the case of service contracts, this probably makes sense since these are negotiated and known. That is not necessarily true of other items in the budget. Each division would then have to have a contingency amount left that could be distributed when unanticipated need arose. In addition, there would have to be a divisional process for assessing need and allocating what was left.

In this scenario, if there were funds left at year-end, a discussion could occur as to how best to utilize these funds. This process would assist in educating more of the college community. It would improve the decentralized portion of the budget and provide more autonomy to the divisions. This concept or some variation of it could improve the operational budget and may address, in part, a new budget process that can carve out and free up funds for use in creating learning, creativity, and innovation.

CONCLUSION

Ohlone Community College District is fully meeting the legal and regulatory requirements and has several excellent planning processing in place. The desire is to institute a “Learning College” type organization. In order to provide a budgeting process that will continue to meet the legal requirements and provide enough flexibility for learning, creativity and innovation to occur there are several obstacles that need to be overcome.

The first is the perception and practice that the allocation of resources is based on what you spend not on what you need. The second is that the expressed needs should be aligned with the college goals not based on what has always been done. Third, the college at large needs to recognize that creativity and innovation do not necessarily come from well-defined tidy processes. And fourth, if a “Learning College” is a priority then the allocation of new resources should be purposefully set aside to allow for exploration into new areas.

RECOMMENDATIONS

Based on the study and research provided here, these are the items that we believe need to be done first to address the obstacles we have identified.

1. Provide teaching/training for the greater community on the budget and both Senge's and O'Banion's models.

From the survey, the single most requested training is on how the budget works. If more of our constituents understood how the budget works and what the constraints are we would be able to find more creative ways to get the resources to the programs that most need them.

Build a budget that will:

Break down existing myths

Perhaps the most prevalent myth is the "use it or lose it" notion that many of the campus community seem to harbor. This idea is basically that departments must use all their funds by the end of each academic year, or else next year they will receive only the amount of funding they used in the current year. For example, if a department received \$10,000 for the 2005-2006 academic year but only spent \$8,000, they will be readjusted to an \$8,000 budget the following year.

This is not correct. The departmental budgeting allotment works as follows: If a department spends less than its allotment, it can keep the remaining money (\$2000 in the above example) and will receive the balance (\$8,000) the following academic year to reach its budget allotment (\$10,000).

Departments are not allowed to roll over any remaining monies and add it to their usual budgeted amount. For example, in the scenario above the department could not retain its \$2,000 balance, receive \$10,000 for the new academic year and have \$12,000 at their disposal.

Having faculty review the Ohlone College's Core Values can certainly enhance the possibility of meeting this goal. Several of the core values clearly relate to budgetary concerns: "We promote teamwork and open communication," "We practice innovation and actively encourage risk-taking and entrepreneurship," and "We demonstrate stewardship for our human, financial physical and environmental resources."

However, some of the other core values implicitly relate to creating a budget model which better fits the Learning College: "We provide life long learning opportunities for students, college personnel and the community," "We promote diversity, inclusiveness and openness to differing viewpoints," and "We value trust, respect and integrity." While many of the core values address how we regard and support our students, several of them also apply to how the campus community could work together to reach our common goal.

Help promote avenues of communication and create synergies

Perhaps the best way to accomplish these goals is to combine financial resources between departments. Ideally this approach would create greater flexibility within departments and reduce the possibility of favoritism when budgeting decisions are made within divisions. In essence, the faculty would have greater collaborative autonomy to meet their budgeting needs.

2. Provide examples of how the budget is already addressing the new model.

Ohlone College has made several strides toward the Learning College concept. We have listed some below. There are probably more. As we look at the college differently, we will find more.

Fiscal resources for Learning Communities

The first group of Learning Communities at Ohlone College has been funded through the Title III Grant for the improvement of student success for the underrepresented student population. There is a critical need to initiate a plan to negotiate a new allocation pattern to channel college budget funds to sustain the expansion of the Learning Communities model, after the Title III Grant will come to an end.

An investigation of other colleges that have implemented and funded Learning communities, show that many have established partnerships within the institution that bring resources from other parts of the college budget to the Learning community effort. In some institutions some learning communities have focused on athletes, others have involved collaborations with the Library, Information Technology, Student Affairs, Institutional Research or the Center for Teaching and Learning. Therefore, a desirable funding strategy for Learning Communities at Ohlone College ought to consider some creative approaches made possible by a new “more integrated” campus culture. For example, Ohlone College formed a new structure, still in its infancy, the “Teaching and Learning Institute” (TLI) as an umbrella structure that could potentially forge “powerful partnerships” with the current staff development committee, the educational technology program, the library, student affairs and information technology among others to attract fiscal resources for Learning communities expansion.

The TLI could serve then not only as the “innovation incubator” and as center for the scholarship and practice of teaching and learning, but also as the central repository of funds to be allocated for innovative projects for the improvement of teaching and learning which will include: learning communities, online course designs for collaborative learning communities, technology assisted learning projects.

Staff Development

Staff Development worked together this year to implement the theme of the “Learning College” and the college strategic goals:

- 2 Develop across the curriculum the Learning College Model, utilizing methods and technologies that hold the most promise for improving student course and program completion success rates.
- 4 Provide continuous learning for all personnel associated with the District and promote an organizational structure that is adaptable, collegial, and supportive of the Learning College Model.

Focus is on a holistic approach to design and support professional development activities for faculty, staff and management.

Teaching and Learning Institute

The Teaching and Learning Institute will be a college-wide, cross-functional organization designed to carry out the directions set by the Learning College Task Force. The Institute will be a center for innovation and excellence that encourages and supports faculty and staff involvement in improving their work in the teaching and learning process to promote student success. The Institute will be a joint venture between the Faculty Senate, CAPAC, Classified Senate, TACO, the Staff Development Committee, the Deans and Directors, and the Office of the VPI, in collaboration with Student and Business Services and the President's Office. The core purpose of the Teaching and Learning Institute is to be an ongoing "Learning Community" of faculty and staff working to achieve Goals 2 and 4 listed above.

The College Council

The purpose of the Ohlone's shared governance body, the College Council, in keeping with the district Board Policy, is to ensure that appropriate members of the district participate in developing recommended policies for board of trustee's action and to ensure that appropriate members of the district participate in developing recommended administrative procedures for the college president's action.

The College Council has 15 voting members and three ex-officio (non-voting) members. Representation on the College Council includes six faculty members, two students, four classified staff members, three members from administration. The three ex-officio members are the President/Superintendent and each Vice President/Deputy Superintendent.

In keeping with direction of the President/Superintendent for shared governance of the college, the purpose of the Ohlone College Council, is to ensure that appropriate members of the district participate in developing recommended college annual budgets, annual strategic plans, new programs and services and major facilities planning prior to their adoption by college officials and to ensure that all members of the college community have access to information regarding ongoing developments and issues and that there is an open forum for full participation in decision-making of areas defined under board and state policy as well as administratively and mutually agreed shared governance matters.

3. Provide Avenues of participation based on college wide goals.

There are two areas that came up in the budget discussion. The first is the need for a **budget committee**. Regardless of how that is structured, it needs to occur. The second is a **staffing committee**; this does not have to be a new committee and could be the VP's. However, it needs to be defined and managers need to know when meetings are occurring to increase the number of classified employees. This should be in conjunction with the New Ways to Work.

New Ways to Work, Learn, and Teach - Funding Innovation at Ohlone's Learning College

Building a pathway to provide funding for innovation within the Learning Communities at Ohlone College's Learning College is no small task. The inherent inertia of our out-of-date and rigid budgeting system has placed barriers in the pathway. There is light at the end of the tunnel, the "New Ways to Work, Learn, and Teach" draws directly from the philosophical foundation of the Learning College model and is in line with our budget philosophy.

Technology, learning research and the assessment movement provide strong foundations upon which to build a learning college model. O'Banion states: "... learning will become more common-place—everyday, just-in-time experiences provided by technology anyway, anyplace, anytime (p. 79)." Research on learning has demonstrated that learners succeed best by doing, individuals have different learning styles, and humans have multiple intelligences. Current models of assessment reflect the research on learning insofar as they focus on understanding and improving student learning.

Skyline College in San Bruno uses what they call "The Professional Personnel Committee" to evaluate grant proposals each semester. Staff submitting proposals may choose to have their proposal evaluated for the particular funding source. This procedure allows the committee the flexibility to direct a proposal to the appropriate fund. Ohlone College's College Council, or a subcommittee commissioned by the Council, could serve in this same manner.

Eligibility

All full-time personnel (faculty and classified staff) and hourly faculty are eligible to submit proposals.

Review Procedures

Trustees Fund: Proposals to be funded through the Trustees' Fund for New Ways to Work, Learn, and Teach, would be reviewed by the budget oversight committee of the College Council. Recommendations for funding are made to the Vice President of Instruction, Vice President of Business Services and the College President. Final approval is by the Board of Trustees. The College President will notify applicants of the funding received. Projects that are approved in the fall 2006 cycle may commence in January 2007.

Identifying Innovation Proposals

Identifying innovative ideas, projects, and programs can be done through two of Ohlone's Learning College committees: the newly refocused Staff Development committee and the Teaching and Learning Institute under the direction of the Learning College Task Force. Approval and prioritization of proposals would be made by the College Council or a subcommittee of this shared governance body.

Beyond this there is some caution in providing too much structure. Innovation cannot tolerate too many hoops. Building avenues that will free up funds so that already prioritized operational items can be funded is relatively easy to institute. How innovation is funded must be much more fluid and readily accessible. A plan to provide carry over in a reserve that can be easily accessed is one suggestion. Encouraging the departments to assist each other in funding larger projects is another. This requires slightly more trust on the part of budget managers.

4. Provide incentives to participate and innovate

There can be numerous avenues but if no one takes the invitation then we have not moved down the continuum.

Rewards and Recognition

Learning College invests a great deal in the people therefore to promote a learning communities initiative, Reward and Recognition policy is designed to encourage employees and faculty to make a performance difference either individually or through teams. This program recognizes achievements, innovation or accomplishments that contribute to the overall missions of the learning college. It is an integral part of a Learning College's strategic plan and employee's loyalty and support for the Learning College Model.

Objectives

- Provides a supportive environment to foster collaboration among the employees and encourage them to take active role in building the learning college
- Encourages regular, open, and honest communication between employees
- Career development on either track; increasing your responsibilities and competencies or obtaining commensurate rewards.
- To build the learning college proactively, seek out the coaching, tools, and advice needed to build the learning college and to develop in areas that advance the learning college
- Recognize and promote positive behaviors that support individual, work group, unit, team
- Department, school and/or institutional mission and business goals and objectives
- Provide timely recognition to employees either as planned or immediate recognition
- Provide both individual and team recognition and rewards
- Provide for both manager, employee, and faculty initiated recognition and rewards
- Improve employee and faculty productivity and quality of work

- Improve customer service
- Recognizes and rewards employee for growing as a "knowledge leader" (individual contributor role) or a "people leader" (dean or manager role).

Types of Recognition

Employee recognition is broken down into two categories: **formal recognition** and **informal recognition**. This approach provides employee rewards and recognition at any time for demonstration of behaviors and values of the organization, contributions to the goals and objectives of the learning college or work unit and to acknowledge individual or team accomplishments.

Informal recognition, usually by an individual's peers or supervisor, acknowledges the employee's contribution. The recognition is not limited to the following:

- Employee appreciation
- Exemplary effort
- Improve work process
- Peer appreciation (being helpful)
- Special project completion
- Special effort under unique or difficult circumstances
- Teamwork
- Suggesting a new or modified business practice
- Nomination of Outstanding Effort

Formal recognition is a high profile institutional, organizational, or unit-wide program that occurs on a regularly scheduled basis, characterized by an event to acknowledge contributions of an individual or team to their department, unit, campus, community, etc., or recognition of the exceptional contribution of an individual following the authorization process outlined below. The recognition is not limited to the following:

- Attendance
- Customer or public service
- Employee of the month
- Employee of the year
- 5, 10, 15, 20 years and so on
- Outstanding achievement
- Productivity
- Safety
- Suggestions of ways to improve productivity or service

Internal Nomination.

All staff members are encouraged to submit their recommendation for Outstanding Efforts by their co-workers and staff through the Ohlone's web page. These recommendations

will be forwarded to the administrator, dean, or manager on a monthly basis. Upon consideration, the Outstanding Employee will be named. All other employees receiving nominations will receive a certificate recognizing their accomplishments.

External Nomination.

Members of the college community will be encouraged to nominate outstanding efforts by our staff through the Ohlone's web page. These recommendations will also be forwarded to the administrator, dean, or manager on a monthly basis. Upon consideration, the Outstanding Employee will be named. All other employees receiving nominations will receive a certificate recognizing their accomplishments.

Awards

Recognition awards may include: non-refundable gift certificates; meals; trips; plaques; trophies; certificates; desk items; cups and mugs; personal items of clothing such as caps, shirts, and sweatshirts; and other items such as tools, electronics, radios, sports equipment and timepieces.

Publication of Awards: Employees who are award recipients will be recognized via the college web site. The purpose is to share their extraordinary effort with others.

Eligibility

All full-time personnel (faculty and classified staff) and adjunct faculty are eligible to submit proposals.

Funding

This program will be funded by the leftover funds from various departments in the previous years. Approximately, 50% of the leftover funds are available to fund the Rewards and Recognition program.

5. Search for various sources of revenue to support creativity and innovation.

With this in mind, in order for the "New Ways to Work, Learn, and Teach" philosophy to succeed the College must utilize existing human, physical, technological, and fiscal resources efficiently and effectively and increase external funding.

Ohlone College's Learning College must incorporate the following in order to utilize resources efficiently and effectively:

- Explore options for flexible, multi-year departmental budget planning.
- Continue efforts to make budget reports user-friendly.
- Develop and implement a long-range budget plan for computer hardware and software upgrades and/or replacement.

- Update and implement the Technology Master Plan.

Ohlone College must also continue to look at ways to increase external funding. Grants, donations through capital campaigns, and the lease and/or sale of surplus property are all ways to accomplish this second critical component for the institution of “New Ways to Work, Learn, and Teach”.

Once the budget amounts are identified, the District Board of Trustees can set aside funds to support faculty and staff professional development and the development, implementation and evaluation of instructional materials of existing and emerging programs and services. These funds, “The Trustees’ Fund for Program Improvement and the Learning College”, should be made available to fund Learning College activities in the form of grant proposals.

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